loop.

BUSINESS & SCALING PLAN · DRAFT FOR DISCUSSION

turning scroll time into study time.

A 3-year plan to take loop. from a live MVP at one university to a revision layer used across European universities: pricing, unit economics, go-to-market, financial projections and the funding we need.

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All projections are estimates built on stated assumptions, to be validated in pilots.

1 · SUMMARY

the plan on one page

Students review only when exams force them to, because course material (long slide decks, readings, recorded lectures) isn't built for quick, frequent revision. **loop.** turns a course's own material into a 5-minute, swipeable feed: ***swipe to learn*** (30–90-second concepts and video clips), ***swipe to test*** (a recall question every two cards) and ***swipe to reinforce*** (missed questions return before the exam).

€0.4M
revenue in year 3, ≈ 80% from faculty licences

30
paying faculties by year 3 (≈ 43,000 licensed students)

3.5 : 1
faculty licence LTV : CAC

€400k
pre-seed for 18 months

- **Model:** freemium for students (daily feed free, **exam mode €4.99/month**) plus **faculty licences at €10 per student per year** (≈ €14.5k each). Students alone rarely pay back what they cost to acquire, so the free app is our acquisition channel and proof; faculties are the business.
- **Go-to-market:** one class at a time. Start at IE, spread through class groups, ambassadors and professor pilots private Madrid universities first (they buy faster than public ones), then the rest of Spain, Portugal, Italy and France.
- **Financials:** €25k → €131k → €407k revenue (×5.2, ×3.1). Break-even needs ≈ 60 faculty licences, which we expect in year 4–5.
- **Ask:** €400k pre-seed for 18 months to ship the AI video clipper and slide generator, win the first paid faculty licences, reach 10,000 students, ≈ 8 paying faculties and ≈ €11k monthly revenue by month 18, then raise a seed round.

2 · TRACTION SO FAR

two weeks, real signals

15
sign-ups, all organic, €0 spent

7
classmates tested the MVP

3 / 5
average usefulness (v0.1)

1 week
from idea to live MVP

The live MVP (studywithloop.github.io/app/) already runs a course feed with recall questions and a review round, clips assigned YouTube videos with recall pauses, and lets students build a feed from their own slides. A 3/5 usefulness score on a first version is a starting point, not a result: the next iterations focus on what testers flagged, and the target for the pilot is ≥ 4/5 with ≥ 30% of students returning in week 2.

3 · MARKET

start small, grow out

We size the market bottom-up, from the first students we can reach to the whole of Europe, rather than claiming "1% of a huge market".

STEP	STUDENTS	SOURCE	HOW WE REACH THEM
Our classes	≈ 100	own network	class groups, QR stickers, demo in class
IE University	10,000+	IE University, 2025	ambassadors per programme, professor pilots
Spain (SAM)	1.88M	Ministry of Science, Innovation and Universities, 2025–26	92 universities (42 private); private Madrid universities first
EU (TAM)	19.1M	Eurostat, 2024 (tertiary)	Portugal, Italy, France in year 3

In euros: the ceiling is about **€191M a year** if every EU tertiary student were covered by a €10 licence (Spain ≈ **€19M**). Our year-3 target is far smaller and concrete: **30 paying faculties** (≈ 43,000 licensed students), plus 120,000 registered students, 4,800 of them paying for exam mode.

competition: the demand is already there

ALTERNATIVE	WHAT STUDENTS USE IT FOR	WHAT'S MISSING
ChatGPT, NotebookLM	Explaining notes, summaries	Need prompts and a sit-down session; don't know the course
Quizlet, Anki	Flashcards, spaced repetition	No explanations; students must make the cards
TikTok, YouTube	Short explanations	Not their syllabus or professor
Lecture slides	The "official" source	Long, fragmented, not made for quick revision
loop.	**Their own course, 5 minutes a day, active recall and spaced review built in, every card linked to its source**	

Why we can win: course context (no prompts), professor approval (trust), and a habit loop designed for the minutes students already spend on their phones. Large players could add similar features, so our defensibility comes from university relationships, course-level content and the data on which concepts students actually miss.

4 · BUSINESS MODEL

free for students. paid by faculties.

PLAN	PRICE	WHAT'S INCLUDED	WHO PAYS
Free	€0	Daily feed for your courses, quick checks	—
Exam mode	€4.99 / month or €29 / year	Spaced review timed to exam dates, unlimited own uploads, video clipping	Students (≈ €22 per paying student per year, net of 21% VAT)
Faculty licence	€10 / student / year (≈ €14.5k per faculty)	Exam mode for a whole faculty or school, professor approval tools, class dashboard of most-missed concepts	Faculties and schools; private universities first

unit economics: students (B2C)

METRIC	VALUE	ASSUMPTION
Cost per registered student	€1.50	Blended: ≈ €0.80 for the first organic users; paid installs in Europe ≈ $2.25; ambassadors typically $5–10 per sign-up
Free → paid conversion	3%	Freemium median 2.1%, top quartile 4.5% (RevenueCat 2026); we model 3% → 4%, target 6%
CAC per paying student	**€50**	€1.50 ÷ 3%
Revenue per paying student	€22 / year	Net of 21% VAT; mix of monthly (exam seasons) and annual plans
Gross margin	75%	AI content generated once per lecture (≈ $0.16) and shared by the class; Duolingo runs at 73%
Paying lifetime	≈ 1 year	Only ≈ 8% of monthly subscribers last 12 months; annual plans renew at 23–40%
LTV	**€16.50**	€22 × 75% × 1 year
LTV : CAC	**0.3 : 1**	**Students alone don't pay back their acquisition: they are our channel to faculties**

unit economics: universities (B2B)

METRIC	VALUE	ASSUMPTION
Average licence	€14.5k / year	≈ 1,450 students per faculty × €10; under Spain's €15k "contrato menor" limit (no public tender)
CAC per licence	≈ €10k	Sales time, a free pilot term; higher-ed sales take 6–18 months
Licence lifetime	3 years	Annual renewal after a successful pilot
Gross margin	80%	Content generated once per lecture; hosting and support

LTV : CAC	**3.5 : 1**	**€14.5k × 80% × 3 = €34.8k ÷ €10k; payback ≈ 10 months**

Built on real-life benchmarks (sources in our numbers-check document) and to be replaced with our own pilot data: conversion, retention, cost per sign-up and licence sales.

5 · GO-TO-MARKET & SCALING

one class at a time.

The growth loop is built into the product: every feed ends with “send to my class”, so each student who finds it useful can bring in a whole class group. Professors turn classes into faculties; faculties turn into licences.

Phase 1 months 0–6	**Prove it at IE.** Ship the AI video clipper and the slide generator. 3 professor pilots (one course each), 10 student ambassadors, Instagram #coolkidsstayintheloop, QR stickers on campus. Target: 3,000 registered students, week-2 return ≥ 30%, usefulness ≥ 4/5.
Phase 2 months 6–12	**Madrid, private universities first.** Ambassador programme at Madrid universities; launch exam mode before the winter and spring exam seasons. Convert pilots into the first 3 paid faculty licences. Target: 10,000 registered, 300 paying, €25k revenue.
Phase 3 year 2	**Spain at scale + Portugal.** Sales lead for universities, professor dashboard, accounts and spaced repetition. Target: 40,000 registered, 1,400 paying, 12 faculty licences, €131k revenue. Raise a seed round around month 18.
Phase 4 year 3	**Southern Europe.** Italy and France via partner universities and Erasmus networks; localised content generation. Target: 120,000 registered, 4,800 paying, 30 faculty licences, €407k revenue. Break-even at ≈ 60 licences, in year 4–5.

operations

- **Content:** one feed per lecture, generated with AI from the professor’s material, checked against the source and approved by the professor before release.
- **Sales:** pilot first (free for one term), then a one-year faculty licence under €15k (no public tender needed); buyers are deans and learning-innovation teams. Private universities first.
- **Compliance:** GDPR by design: minimal student data, professor permission for course material, videos linked rather than re-hosted, university data-processing agreements.

6 · FINANCIAL PROJECTIONS

€0.4M by year 3.

DRIVERS	YEAR 1	YEAR 2	YEAR 3
Registered students (end of year)	10,000	40,000	120,000
Paying conversion	3%	3.5%	4%
Paying students (end of year)	300	1,400	4,800
Revenue per paying student (net)	€22	€22	€23
Faculty licences (end of year)	3	12	30
Average licence	€14.5k	€15k	€16k

Revenue counts students and licences from when they start paying (average of start and end of year), not as if they paid all year.

PROFIT & LOSS (€)	YEAR 1	YEAR 2	YEAR 3
Student subscriptions	3,300	18,700	71,300
Faculty licences	21,750	112,500	336,000
Revenue	**25,050**	**131,200**	**407,300**
Growth	—	× 5.2	× 3.1
Team (3 → 6 → 9 people × €57.5k incl. social security)	172,500	345,000	517,500
AI & infrastructure	10,000	25,000	50,000
Marketing & ambassadors (€1.50 per new sign-up)	15,000	45,000	120,000
Sales, operations & legal	30,000	70,000	110,000
Total costs	**227,500**	**485,000**	**797,500**
Result (EBITDA)	**-202,450**	**-353,800**	**-390,200**

Team size: 3 full-time in year 1 (2 engineers, 1 business & sales), 6 in year 2, 9 in year 3. **Break-even:** on the year-3 cost base we need ≈ 60 faculty licences, which we expect in year 4–5. **Key sensitivity:** if licences slip by six months, year-3 revenue falls to about €0.3M. The student business alone would not cover costs, so the pilots-to-licences conversion is the number to watch. Monthly revenue at year end: ≈ €4k, €18k, €49k.

7 · FUNDING

€400k for 18 months.

The pre-seed covers the year-1 loss (≈ €202k) and the first half of year 2 (≈ €177k), ≈ €379k, plus a small buffer. We top it up with non-dilutive funding: an **ENISA Jóvenes Emprendedores** loan (€25–75k) and a **CDTI Neotec** grant (up to €250k), so we raise the seed round from strength rather than in a panic.

USE OF FUNDS	SHARE	€	WHAT IT PAYS FOR
Product	50%	200,000	2–3 engineers, AI and infrastructure: video clipper, slide generator, accounts, spaced repetition, professor dashboard
Growth	15%	60,000	Ambassador programme in Madrid, campaigns, events
Sales & operations	35%	140,000	Business & sales hires, university pilots, legal (GDPR, contracts), admin
Total	**100%**	**400,000**	

milestones the money buys

WHEN	MILESTONE
Months 0–6	AI video clipper and slide generator live; 3 professor pilots; 3,000 registered students
Months 6–12	10,000 registered students; 300 paying; 3 paid faculty licences
Months 12–18	≈ 8 paying faculties, ≈ €11k monthly revenue; seed round (≈ €1.5M) to scale faculty sales in Spain, then Portugal, Italy and France

key risks and how we handle them

RISK	MITIGATION
Students don't come back after the novelty	Measure week-2 return in pilots; exam-date nudges; recall questions make progress visible; kill or change features that don't move retention
AI content is wrong	Cards only use uploaded material, link to the source slide or timestamp, professor approval before release
Slow university sales	Student-led adoption first; free pilot term; sell per faculty under €15k, not whole university; private universities first
Big players copy features	Course-level content, professor relationships, data on most-missed concepts
Content rights and privacy	Professor consent, link not re-host videos, GDPR data minimisation, university DPAs

sources and assumptions

- EU students: "In the EU, there were 19.1 million tertiary education students in 2024." Eurostat, Statistics Explained, Tertiary education statistics (ec.europa.eu/eurostat).
- Spain: 1,875,000 university students in 2025–26 (1.76M official in 2023–24); 92 universities, 42 of them private (2024–25). Ministry of Science, Innovation and Universities (ciencia.gob.es).
- IE University: "over 10,000 Bachelor's and Master's students from 160 countries". IE University news, 8 Sep 2025.
- Benchmarks: RevenueCat State of Subscription Apps 2026 (conversion, retention, education prices); Duolingo Q3 2026 shareholder letter (paid share, gross margin); Adjust (European cost per install); Ley 9/2017 art. 118 (contrato menor < €15,000); EDUCAUSE 2026 (higher-ed sales cycles); Madrid salary data (Indeed, Payscale) and 2026 social-security rates;

Anthropic API pricing; ENISA; CDTI Neotec 2026. Full list in our numbers-check document. All values to be replaced with our own pilot data.